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NEWSPAPER

ITEM WISE EDITORIALS

11th MAR, 2019

11th WEEK

BRI ATTRACTING WESTERN POWERS !

UPSC CSE – GS II

GS II ... International Relations

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EDITORIALS

... DISCUSSION

11th MARCH, 2019

EDITORIAL DISCUSSION

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5

Road through Rome?

Italy's proposed endorsement of the BRI highlights the dilemmas within the EU

Italy's plan to endorse the Belt and Road Initiative, the first such move by a G7 member, will boost China's global ambitions. In turn, this highlights the difficulties facing the EU and the U.S. in formulating a concerted response to counter China's growing might. On its inception in 2013, the BRI envisaged linking about 65 countries along a modern Silk Road, the transformation of China into a high-income economy and the renminbi's elevation into a global currency. Today, it has expanded to over 80 countries, mostly least developed and developing economies, as Beijing seeks to bolster its Made in China 2025 industrial policy. The lure of the BRI is attributed largely to the informal nature of the deals Beijing negotiates with partner states, with attractive loan terms and sans political strings. Their opaque nature has spurred criticism that recipients risk being pushed into a debt trap. But the glitches facing some of the BRI infrastructure projects have merely led to calls for renegotiation rather than their roll-back. The BRI has moved forward, along with Beijing's other venture, the Asian Infrastructure Investment Bank. Many Central and Eastern European countries, EU members and aspirants alike, are part of the "16+1" group, which includes China, collaborating in infrastructure ventures.

However, Italy, an EU founder member, will be the first major developed economy to participate in the BRI. Rome's ruling eurosceptic and anti-establishment coalition has been enthusiastic in signing on. Its timing is seen to have something to do with the difficulties the government has faced in balancing its growth targets with the EU's stringent fiscal norms. These tensions surfaced in recent negotiations with Brussels that led to a revised Italian budget. Italy is counting on its BRI endorsement to boost investment in it, given recent reductions in Chinese outflows into the EU. Rome is expected to sign an MoU to participate in the mammoth endeavour during a visit this month of President Xi Jinping. Italy's move comes at a moment of increasing concern in European capitals, especially Paris and Berlin, to counter Chinese mergers and acquisitions of European firms to protect the bloc's strategic economic sectors. The Trump administration has, in keeping with its America First policy, invoked national security provisions rarely deployed in international trade and targeted Beijing with punitive import tariffs, ostensibly to protect domestic industries. China's phenomenal economic expansion since joining the WTO in 2001 has almost altered the global landscape. But attempts to block Chinese businesses may prove short-sighted. Instead, Western democracies should strive to live up to their repeated pledges, since the 2007-08 global financial crisis, to eschew protectionism and promote rules-based open and free global competition.

THE HINDU

INDIA'S NATIONAL NEWSPAPER SINCE 1878

9th March, 2019

UPSC CSE – GS II

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India and its neighborhood- relations.

IMPORTANT QUESTION

ESSAY/ MAINS / GD / INTERVIEWS

What is the rationale behind China starting the BRI? Examine the reasons, why the developed nations are trying to embrace BRI.

5 Road through Rome?

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...Contd.

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BELT & ROAD INITIATIVE

ORIGIN

The BRI originated from two speeches by the President Xi Jinping in Central Asia in 2013. The outline plans for China's global outreach through connectivity and infrastructure development.

1 SILK ROAD - ECONOMIC BELT

It includes land corridors from China through Central Asia and Russia to Europe, which include spurs to West Asia and to Pakistan, i.e CPEC.

2 21st CENTURY MARITIME SILK ROAD

It links China's east coast through major sea lanes to Europe in the west and Pacific in the east.

Together they constitute BRI or Belt and Road Initiative. Originally the name was One Belt and One Road.

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WHY CHINA STARTED THIS?

1. China created excess capacity in manufacturing and construction industries and it requires markets for utilizing it.
2. Increasing economic activity in the less developed western region and China thought it is possible with BRI.
3. Creating alternative energy supply routes to the choke points of the straits of the Hormuz and Malacca through which majority of China's maritime oil imports pass.
4. Strengthening Chinese influence over swathes of Asia and Africa so as to become a maritime power.
5. Developing financing structures parallel to Bretton Woods system and eventually internationalising the currency.
6. This fits into the multiple objectives of economic, developmental and geo-political motives.

EDITORIAL DISCUSSION

- Italy became the first country in G7 to endorse Belt and Road Initiative.
- G7 countries are Canada, France, Germany, Italy, Japan, the United Kingdom, and the United States.
- It highlights difficulties facing the EU and US in formulating a concerted response to counter China's growing might.

WHY ITALY's DECISION IS SIGNIFICANT?

XI JINPING
PRESIDENT OF THE PEOPLE'S REPUBLIC OF CHINA

1. It is the first major developed country to participate in BRI.
2. The Ruling Coalition is Eurosceptic and anti-establishment.
3. It is facing difficulties in balancing growth rates and EUs stringent fiscal norms.
4. Italy is thinking that the BRI endorsement will boost investment.
5. Italy is expected to sign a MoU during the visit of President Xi Jinping this month.

WHAT PROMPTED ITALY TO TAKE THIS DECISION?

1 America First Policy of Trump Administration.

2 There are protectionist tendencies in several advanced countries.

3 Stringent norms of European Union are not palatable to several countries.

4 Several countries are cutting the social security benefits and reducing the fiscal deficits due to the strict instructions of IMF / ECB and the countries feel that it is inhibiting their growth.

5 Now, Italy felt that it will be benefitted, if it signs BRI.

China's economic expansion, since joining WTO in 2001, almost altered the global landscape.

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SINCERE THANKS
FOR VIEWING THIS VIDEO

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